

Nu Holdings Ltd.

First Billion-Dollar Quarter, Delivered Into a Record Household Debt-Service Ratio; Overweight, PT \$17

NU, NYSE | Financials — Diversified Banks

OVERWEIGHT

Price (20 Aug 2026): \$14.21
Price Target (Dec-27): \$17.00

INVESTMENT THESIS

We rate Nu Holdings Overweight with a December 2027 price target of \$17.00, +19.6% from the \$14.21 close of 20 August 2026. Q2 2026 was the company's first billion-dollar profit quarter: gross revenue of \$5.9bn (+39% YoY), net income of \$1.06-1.1bn (+49% YoY), 33% ROE and 22.9% NIM. The number that matters most is risk-adjusted NIM, up 290bp QoQ to 12.4% — evidence that the mix shift into secured and payroll-deductible lending is earning its cost of risk rather than diluting it.

The debate is asset quality, and it is genuinely two-sided. Early-stage 15-90 day NPLs improved 16bp to 4.8% while 90+ day NPLs rose 35bp to 6.9%, a divergence management frames as seasonal migration. We weight the leading indicator, but Brazilian household debt service at a record 28.5% of income means the bear case is not yet falsified. Our \$17.00 sits ~9% below the \$18.63 consensus average deliberately: we apply a compressing multiple to consensus EPS rather than underwriting both a beat and a re-rate.

- Monetisation, not acquisition, is the engine: ARPAC of ~\$17 against a ~\$0.8 monthly cost to serve, a roughly 20x spread.
- 139m customers (+15% YoY); deposits of \$45.3bn (+18%) funded at 88% of the interbank rate, three points lower YoY.
- Mexico is the second S-curve: 16m customers and ARPAC of \$12.30 at 16.5% adult penetration, versus Brazil's \$5.60 at the same stage.
- At 5.18x book and 16.0x FY26E, a cost-of-risk surprise would compress the multiple faster than earnings can grow.

COMPANY OVERVIEW

Nu Holdings is a Cayman-domiciled holding company operating Nubank, the largest digital financial services platform in Latin America and, by customer count, one of the largest banks in the Western Hemisphere. It runs branchless on a proprietary technology stack. Q2 2026 customers totalled 139m: ~118m in Brazil (~62% adult penetration), 15.8m in Mexico and over 5m in Colombia. Deposits were \$45.3bn and the credit portfolio \$39.4bn.

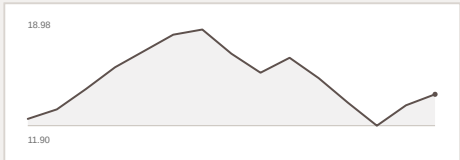
The shelf spans the no-fee card, NuConta, unsecured and secured lending, PIX, NuInvest, NuInsurance, the NuCel MVNO and SMB accounts; Croma, a paid affluent-mass tier, launched in July 2026. In the US, the OCC conditionally approved Nubank, N.A. in January 2026; FDIC and Fed approvals are still outstanding.

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PRICE PERFORMANCE



12-month price performance (\$, illustrative)

COMPANY DATA

Shares O/S (bn, A+B)	4.83
Market Cap (\$bn)	68.6
Enterprise Value (\$bn)	59.4
52-Week Range	\$11.20 - \$18.98
Avg. Daily Volume	~80.5m sh
Beta (5Y monthly)	0.94
P/B (BVPS \$2.74)	5.18x
Dividend	None
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$bn, exc. EPS)	FY24A	FY25A	FY26E	FY27E
Gross revenue	11.5	16.3	—	—
Cons. revenue	11.5	15.8	22.8	27.6
Net income	1.97	2.90	4.13	—
EPS (cons.)	\$0.40	\$0.58	\$0.89	\$1.14
P/E @ \$14.21	35.5x	24.5x	16.0x	12.5x
ROE (Q4 exit)	29%	33%	—	—
Customers (m)	114	131	—	—

Source: company results releases and SEC Form 6-K/20-F filings (FY24A/FY25A actuals, including diluted EPS); Macrotrends (FY24A/FY25A revenue on vendor/aggregator basis); consensus of analysts per S&P Global via StockAnalysis (FY26E/FY27E revenue and EPS; FY26E net income). Gross revenue and vendor/consensus revenue are not on the same basis. — = not disclosed by the company and not tracked by consensus data providers.

Q2 2026 RESULTS — THE FIRST BILLION-DOLLAR QUARTER

Gross revenue of \$5.9bn rose 39% YoY and roughly 18% QoQ off Q1's record of more than \$5.0bn. Net interest income reached \$3.7bn (+9% QoQ) and gross profit \$2.4bn (+43% YoY, +25% QoQ). Net income of \$1.06-1.1bn was up 49% YoY and 17% QoQ, taking ROE from 29% to 33%. NIM expanded 180bp QoQ to 22.9% and risk-adjusted NIM 290bp to 12.4% — the widest gap-closure of the current cycle and, in our view, the single most important disclosure in the quarter.

Volume supported price. Customers grew ~4m in the quarter to 139m (+15% YoY) with a monthly activity rate of 83.5% (Brazil above 86%). Deposits rose 6% QoQ to \$45.3bn and 18% YoY, with cost of deposits at 88% of the interbank rate, three percentage points lower YoY. The credit portfolio grew 5% QoQ to \$39.4bn (+37% YoY), led by cards at \$26.0bn (+7% QoQ); secured lending, the lowest-loss-content segment and the intended vehicle of the mix shift, reached \$3.1bn. ARPAC advanced to ~\$17 from ~\$16 in Q1 and \$10.7 at the FY24 exit.

Geographic scaling is doing more of the work each quarter. Mexico ended Q2 with 15.8m customers and \$5.7bn of deposits, reaching 16m by July and becoming the country's largest digital bank in August 2026; the CNBV banking licence granted in April 2025 converted the SOFIPO into a regulated bank, protecting deposits under the standard regime and, more importantly, unlocking payroll deposits and a wider product shelf. Management flags 16.5% adult penetration, equal to Brazil's 2020 level, but with ARPAC of \$12.30 against Brazil's \$5.60 at the same stage. Colombia passed 5m customers with \$3.3bn of deposits off a smaller base.

The blemish is the efficiency ratio, which stepped up from 17.6% to 19.5%. Management attributes this to the US build-out, the Croma launch and Mexican banking-licence costs, consistent with its stated willingness to spend up to 100bp of efficiency ratio on the US. We read it as investment rather than cost-control failure, but it is a genuine drag on incremental operating leverage arriving precisely as revenue growth decelerates. Investors should also weight FX-neutral disclosures where available: with USD/BRL at ~5.19 versus a 6.75 December-2024 peak, a meaningful part of reported USD growth is real-appreciation-assisted, and the company did not quantify the Q2 FX contribution.

Two corporate items frame the quarter. The board authorised a \$1.0bn Class A repurchase in June 2026, the most significant capital-return signal to date and notable for arriving alongside, not instead of, continued growth investment. Rob Livingston (ex-Visa, ex-Capital One) succeeded Guilherme Lago as CFO on 13 July 2026, a transition that prompted a Bank of America downgrade on credit-cycle grounds.

ASSET QUALITY DEEP-DIVE — READING THE NPL DIVERGENCE

The two delinquency series moved in opposite directions in Q2: 15-90 day NPLs improved 16bp QoQ to 4.8%, while 90+ day NPLs deteriorated 35bp to 6.9%. Mechanically this is consistent with management's seasonal-migration framing — an earlier cohort rolling through into the late bucket while new entries into early delinquency slow. The early-stage series is the leading indicator, and its improvement is the reason we do not treat the 90+ print as a thesis break. Set against the FY25 exit (15-90 at 4.1%, 90+ at 6.6%), however, both series are worse than a year ago, and the burden of proof sits with Q3.

The macro backdrop is the reason this matters more for Nu than the numbers alone imply. Brazilian household debt service reached a record 28.5% of income in May 2026, a level that caps incremental credit demand and raises the probability of a system-wide cost-of-risk step-up. Bank of America's August 2026 'The Gathering Storm' work singled out Santander Brasil and Porto as most exposed through lower-income concentration and described Itaú and Bradesco as resilient; it did not name Nubank. The read-across to NU is therefore thematic rather than specific — but Nu's customer base skews toward exactly the lower-income cohorts identified as vulnerable elsewhere.

Two offsets deserve weight. First, Selic has been cut three consecutive times to 14.00% (5 August 2026), and easing historically supports credit-quality normalisation with a two-to-three quarter lag while lowering funding costs already at 88% of interbank. Second, risk-adjusted NIM of 12.4% is a post-provision number: the book is out-earning its losses by a wider margin than at any point in the cycle. If 90+ NPLs stabilise near current levels in Q3 while risk-adjusted NIM holds above 12%, the credit debate resolves in the bulls' favour. If both series rise together, it does not.

VALUATION & PRICE TARGET

Our \$17.00 December 2027 target is the equal-weighted blend of two mechanical methods. Method A applies a 15.0x target multiple to consensus FY2027E EPS of \$1.14, giving \$17.10. The 15.0x is a ~1.8x premium to Itaú's 8.2x forward multiple, sized to Nu's ~1.5x ROE advantage and ~28% forward EPS growth against mid-single-digit growth for incumbents, and set below the current 16.0x FY26E multiple to reflect natural compression as growth decelerates from +41% to +28%. Method B applies a 4.75x target price-to-book to forward BVPS of ~\$3.53 — current BVPS of \$2.74 plus ~\$1.00 of retained earnings over four quarters, less ~\$0.21 per share for the \$1.0bn buyback — giving \$16.77. The blend is \$16.94, rounded to \$17.00: 14.9x FY27E EPS, 4.8x forward book, a ~\$82.1bn market capitalisation, and +19.6% total return with no dividend.

The multiple, not the EPS forecast, is the load-bearing assumption, and we state the sensitivity plainly: at 13.0x FY27E EPS and 4.0x book the blend falls to roughly \$14.5, which would be a Neutral; at 17.0x and 5.5x it rises to roughly \$19.4. Our target also sits ~9% below the \$18.63 consensus average and ~11% below the \$19.00 median, on 22 covering analysts with a \$10.00-\$23.00 range. That gap is intentional. The sell-side average implicitly underwrites both an earnings beat and multiple expansion; we underwrite consensus EPS and a modest de-rate. The bimodal \$10-to-\$23 dispersion is itself information — this is a stock where the credit-cycle call, not the growth call, determines the outcome.

On relative value, NU trades at 5.18x book versus Itaú at 1.93x and Bradesco at 0.87x, against an ROE of 31.6% versus 21.5% and 13.8%. Normalising, NU commands 0.164x of P/B per point of ROE against ITUB's 0.090x and BBD's 0.063x. The residual is being paid for growth duration, Mexico's second S-curve and US optionality. We think that premium is defensible — but it is a growth premium, and it is the part of the valuation most exposed to any deceleration.

FINANCIAL SUMMARY

Nu Holdings Ltd. — Summary Financials and Operating Metrics

\$ in millions, except per-share and ratio data	FY24A	FY25A	FY26E	FY27E
Gross revenue	11,510	16,300	—	—
% growth YoY	58%	45%	—	—
Consensus revenue (vendor basis)	11,517	15,775	22,830	27,560
Gross profit	5,000	6,600	—	—
Net income	1,970	2,900	4,130	—
% growth YoY	—	47%	42%	—
Diluted EPS (consensus)	\$0.40	\$0.58	\$0.89	\$1.14
P/E at \$14.21	35.5x	24.5x	16.0x	12.5x
ROE (Q4 exit, annualised)	29%	33%	—	—
NIM (Q4 exit)	17.7%	—	—	—
Efficiency ratio (Q4 exit)	29.9%	19.9%	—	—
ARPAC (monthly, \$)	10.7	15.0	—	—
Cost to serve (monthly, \$)	0.8	0.8	—	—
Customers (millions)	114.2	131.0	—	—
Total deposits	28,900	41,900	—	—
Credit portfolio	20,700	32,700	—	—
NPL 15-90 days (Q4 exit)	4.1%	4.1%	—	—
NPL 90+ days (Q4 exit)	7.0%	6.6%	—	—

Source: Nu Holdings Q4/FY2024 and Q4/FY2025 results releases and SEC Form 6-K/20-F filings (FY24A, FY25A actuals, including diluted EPS of \$0.40 and \$0.58 respectively); Macrotrends (FY24A/FY25A revenue on vendor/aggregator basis, corroborated by the FY2025 Form 20-F summary of ~\$15.8bn total revenue); consensus of analysts per S&P Global via StockAnalysis (FY26E, FY27E revenue and EPS; FY26E net income of \$4.13bn). Gross revenue as reported by the company is not comparable to the narrower net-revenue basis used by data vendors; the FY26E/FY27E consensus revenue line and the FY24A/FY25A vendor-basis actuals are shown separately for that reason. P/E figures are current price (\$14.21) divided by the period's EPS. Q2 2026 latest reported: gross revenue \$5.9bn, net income \$1.06-1.1bn, ROE 33%, NIM 22.9%, risk-adjusted NIM 12.4%, customers 139m, deposits \$45.3bn, credit portfolio \$39.4bn, NPL 15-90 4.8%, NPL 90+ 6.9%. — = not disclosed by the company on a comparable basis and not tracked by consensus data providers for that period.

UPSIDE RISKS

Risks that would drive shares above our price target include:

- Risk-adjusted NIM sustaining above 12%. The 290bp QoQ jump suggests structural repricing rather than a one-quarter effect; if it holds, FY27E EPS of \$1.14 is beatable and the multiple compression embedded in our target does not occur.
- Mexico compounding faster than Brazil did. ARPAC of \$12.30 at 16.5% adult penetration versus Brazil's \$5.60 at the equivalent stage implies roughly double the revenue per customer on the same curve, with the full banking licence now unlocking payroll deposits and a lower-cost funding mix.
- US charter conversion. FDIC and Fed approvals followed by a deposit-and-card launch would open a far higher-ARPAC market at a cost capped at 100bp of efficiency ratio. Essentially none of this is in consensus numbers.
- Brazilian easing cycle. Selic at 14.00% and falling reduces funding costs and improves borrower debt-service capacity, with credit-quality normalisation historically following at a two-to-three quarter lag.
- Operating leverage not yet exhausted. Cost to serve has held near \$0.8 per month while ARPAC rose from \$10.7 to ~\$17; AI agents handling 60%+ of Brazilian support conversations point to further unit-cost deflation.
- FX. USD/BRL at ~5.19 against a 6.75 peak; further real appreciation mechanically lifts USD-reported revenue, earnings and book value.
- Capital return has begun. The \$1.0bn Class A repurchase authorised in June 2026 signals management believes the balance sheet can fund growth and return capital simultaneously.

DOWNSIDE RISKS

Risks that would drive shares below our price target include:

- 90+ NPLs rising. The 35bp QoQ increase to 6.9% is the metric that governs loss content, and the seasonal-migration explanation will be tested in Q3. The divergence between the two NPL series is the single most important thing to monitor.
- Record Brazilian household leverage. Debt service at 28.5% of income caps credit demand and raises the odds of a sector-wide cost-of-risk step-up; Nu's base skews toward the lower-income cohorts flagged as most vulnerable at other lenders.
- Valuation leaves no margin for error. At 5.18x book and 16.0x FY26E earnings against ITUB at 1.93x/8.2x, one quarter of decelerating adds or a provisioning surprise could compress the multiple far faster than earnings grow. The \$10 low in the consensus range is a real scenario.
- CFO transition at a delicate moment. Guilherme Lago's move to Special Advisor and Rob Livingston's arrival on 13 July 2026 prompted a Bank of America downgrade; disclosure practice and guidance philosophy often shift with a new CFO.
- The US charter is conditional, not granted. FDIC and Federal Reserve approvals are outstanding, and the 12-month capitalisation and 18-month opening deadlines create schedule pressure; a denial or onerous conditions would remove the optionality supporting the growth premium.
- Efficiency ratio moving the wrong way, from 17.6% to 19.5% QoQ, pausing the operating-leverage story just as revenue growth decelerates.
- FX cuts both ways. A reversal toward 6.0+ USD/BRL would compress reported revenue, earnings and book value with no change in underlying performance; FX-neutral growth is the honest number and it is lower.
- Customer growth is decelerating — 20.4m net adds in FY24, 17m in FY25, ~4m in Q2'26 — with Brazil at ~62% adult penetration. The thesis now depends on ARPAC and geography, not acquisition.
- Concentration and governance. Roughly 85% of customers are Brazilian, exposing Nu to single-country regulatory action (PIX rules, interchange caps, credit ceilings); the Cayman domicile and dual-class structure limit minority-shareholder influence.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. This report is a template and style exercise; the named individual and firm are fictitious and this certification is illustrative only.

IMPORTANT DISCLOSURES

This report is a formatting and style exercise created for demonstration purposes. "Akul Veauli" and "Akul Veauli Securities LLC" are fictitious. Nu Holdings Ltd. (NYSE: NU) is a real, publicly listed company, and the historical financial, operating and market data cited in this document are drawn from the company's public results releases and SEC filings and from third-party market-data and consensus providers. The rating, price target, estimates and analyst commentary are illustrative outputs of a stated mechanical rule applied to that public data; they are not a proprietary forecast and must not be relied upon.

The \$17.00 price target is the equal-weighted blend of (i) 15.0x consensus FY2027E EPS of \$1.14 and (ii) 4.75x an estimated forward book value per share of \$3.53. The rating rule was stated in advance: Overweight above +15% implied 12-month total return, Neutral between -5% and +15%, Underweight below -5%. The target is highly sensitive to the two multiple assumptions — at 13.0x and 4.0x the blend falls to approximately \$14.5. The target sits approximately 9% below the \$18.63 published consensus average. Consensus, peer and market data are as of the 20 August 2026 close.

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RATING DEFINITIONS

Overweight: Total return expected to exceed the average total return of the analyst's industry coverage universe over the next 6-12 months; applied here where implied 12-month total return exceeds +15%. Neutral: Total return expected to be in line with the coverage universe; applied where implied total return is between -5% and +15%. Underweight: Total return expected to be below the coverage universe; applied where implied total return is below -5%. These definitions are illustrative, generic sell-side rating conventions provided for template purposes only.

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